ANSWER KEY & MARKING SCHEME SET 1

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** of the free-rider problem	Public goods
2	**(a)** Queue for a scarce vaccine at a low fixed price	Shortage
3	**(b)** the law of supply	Direct relation
4	**(c)** cut price	Surplus clears
5	**(b)** future price expectations	Expectation of lower prices
6	**(a)** raise price	Shortage
7	**(a)** the law of demand	Inverse relation
8	**(b)** fill rooms and maximise revenue	Revenue
9	**(c)** high tariff with full rooms	Demand
10	**(a)** Lower incentive to produce	Reduced supply incentive

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Rise in price of a substitute raises demand for the other (1); Rise in price of a complement lowers demand for the other (1).	1+1
12	Booking speed and rivals' tariffs (1); Festivals and days to arrival (1).	1+1
13	It has no effect (1); Market price stays above the floor (1).	1+1
14	Lower price cuts profit (1); Producers supply less (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	More people raise quantity at each price (1); Curve shifts right (1); Price tends to rise (1).	1+1+1
16	Supply falls (1); Price rises (1); Quantity demanded falls (1).	1+1+1
17	Some families will not pay (1); Hope others will fund it (1); Park not built; government must provide (1).	1+1+1
	OR: Ceiling: below equilibrium creates shortage (1); Floor: above equilibrium creates surplus (1); Both distort market (1).	1+1+1
18	Sugar is an input for making sweets (1); Cost of making sweets rises so sweets become costlier (1); Quantity demanded of sweets falls (1).	1+1+1
	OR: Rs 100 is equilibrium (1); At Rs 150 excess supply of 12 (1); At Rs 50 excess demand of 12 (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	At Rs 40 shortage pushes price up (1); At Rs 150 surplus pulls price down (1); At Rs 100 equilibrium (1); Price signals guide buyers and sellers (1); Market clears (1).	1+1+1+1+1
	OR: Monopoly raises price (1); Hoarding creates shortage (1); Black marketing is illegal trade (1); Essential Commodities Act and regulators (1); Penalties and price caps (1).	1+1+1+1+1
20	At low price demand exceeds supply (1); At high price supply exceeds demand (1); Equilibrium where equal (1); Market forces move price (1); Graph intersection point E (1).	1+1+1+1+1
	OR: Demand: income, taste, related goods, population (1); Supply: technology, number of sellers, input costs (1); Both depend on expectations (1); Price moves along the curve (1); Other factors shift the curve (1).	1+1+1+1+1

Mistakes to avoid:

- Do not confuse a **movement along** a demand or supply curve (caused by a change in the good's own price) with a **shift** of the curve (caused by income, tastes, related goods, technology, etc.).
- Excess demand = shortage (price below equilibrium); excess supply = surplus (price above equilibrium). Students often reverse these.

- Substitutes (tea and coffee) move in the same direction of demand when the price of the other changes; complements (smartphone and earphones) go together. Do not interchange them.
- A price ceiling is a **maximum** price and a price floor (e.g. minimum wage) is a **minimum** price; a floor below equilibrium or a ceiling above equilibrium has no effect.
- Market demand is the **sum** of all buyers' demands at a price (e.g. 1 + 2 + 3 = 6 kg); write the values for the same price, not different prices.
- In the real world equilibrium is not stable because demand and supply keep changing (pandemics, weather); the regulators are RBI (banking), SEBI (securities), TRAI (telecom) and CCPA (consumers).

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** fall	Complements
2	**(d)** control prices and stocking	Emergency regulation
3	**(b)** compliance burden	Over-regulation
4	**(d)** many buyers responding together	Aggregation
5	**(c)** intersection of demand and supply curves	Point E
6	**(a)** demand fell and prices returned	Reverse movement
7	**(c)** grow more chickpea	Related-goods effect on supply
8	**(a)** falls below 12 kg	Supply reduced
9	**(a)** excess demand	Shortage
10	**(b)** Cost of apple packaging machinery	That affects supply

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	To prevent exploitation (1); To ensure availability at affordable price (1).	1+1
12	Quantity demanded falls as price rises (1); Law of demand (1).	1+1
13	Everyone benefits (1); Free-rider problem prevents private supply (1).	1+1
14	Market supply rises (1); Competition pulls prices down (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Supply is artificially reduced (1); Price rises sharply (1); Needy buyers suffer (1).	1+1+1
16	If price expected to fall, buyers wait (1); If expected to rise, buyers buy now (1); Sellers may hold stock for future (1).	1+1+1
17	Many licences and permits cost time and money (1); Small firms lack resources (1); Hurts ease of doing business (1).	1+1+1
	OR: RBI - banking (1); SEBI - securities market (1); TRAI - telecom (1).	1+1+1
18	Supply increases (1); Price falls (1); Quantity traded increases (1).	1+1+1
	OR: Early in season supply is low (1); Mid-season supply rises (1); Prices fall (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Technology lowers cost (1); Input costs raise cost and reduce supply (1); More sellers raise market supply (1); Weather and disasters reduce supply (1); Expectation affects stock (1).	1+1+1+1+1
	OR: Prevents exploitation, e.g. sanitiser (1); Ensures access (1); Reduces profit incentive (1); Shortages and black markets (1); Innovation falls (1).	1+1+1+1+1
20	Demand for masks surged in 2020 (1); Supply lagged and prices rose (1); Hotels vary tariffs with demand (1); Equilibrium keeps changing (1); Markets adjust over time (1).	1+1+1+1+1
	OR: Public goods benefit all (1); Not excludable (1); Free riders avoid paying (1); Private firms do not supply (1); Government must provide with taxes (1).	1+1+1+1+1

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 2: **The Price Puzzle (Economics)** | Class 9 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(b)** income effect on demand	Demand changes with income
2	**(d)** higher prices later	Speculation
3	**(a)** rise	Substitutes
4	**(d)** CCPA	Consumer protection
5	**(b)** fall	Excess supply
6	**(d)** increase in supply	Technology
7	**(a)** fall	Weather
8	**(d)** excess supply	Surplus
9	**(c)** school bags and toys	Population composition
10	**(d)** excess demand of 20 kg	30-10

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Interventions affect all groups (1); Accountability in a democracy (1).	1+1
12	Lower cost of production (1); More output at the same price (1).	1+1
13	It adds many buyers (1); It is flatter (1).	1+1
14	Higher income raises purchasing power (1); People buy more or better quality (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Resource depletion (1); Lower future output (1); Sustainability needed (1).	1+1+1
16	Monopoly can raise price (1); Quality may fall (1); Supply may be restricted (1).	1+1+1
17	Buyers compete and price rises (1); Higher price cuts quantity demanded (1); Higher price raises quantity supplied (1).	1+1+1
	OR: Producers lose incentive (1); Shortages arise (1); Black marketing grows (1).	1+1+1
18	Markets decide prices (1); Government regulates unfair practices (1); Provides public goods (1).	1+1+1
	OR: Off-season Rs 1,500 (1); Peak weekends Rs 8,000 (1); New Year Rs 25,000 (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Price distortions (1); Compliance burden (1); Discourages innovation (1); Corruption possible (1); Need for balance and accountability (1).	1+1+1+1+1
	OR: Fixed rooms (1); High demand raises tariff (1); Low demand cuts tariff (1); Competition and bookings matter (1); Aim to maximise revenue (1).	1+1+1+1+1
20	Income rise raises demand for quality goods (1); Taste decides preference (1); Substitute price rise increases demand for other (1); Complement price rise reduces demand (1); Population and seasons matter (1).	1+1+1+1+1
	OR: Floor above equilibrium causes surplus (1); Ceiling below equilibrium causes shortage (1); Floor protects sellers or workers (1); Ceiling protects buyers (1); Both distort markets (1).	1+1+1+1+1

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